Module 9
Principles of Taxation

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

SECTION B – WRITTEN QUESTIONS (Total: 80 marks)

Answer 1(a)

Autumn Limited
Industrial building allowance
Year of assessment: 2019/20

	HK$
Residue of expenditure b/f	2,240,000
Less: A.A. – HK$4,000,000 x 4%	(160,000)
Residue of expenditure c/f	2,080,000

Answer 1(b)

Autumn Limited
Profits tax computation
Year of assessment: 2019/20
Basis period: year ended 31 March 2020

			HK$
Net profit per income statement			2,844,000
Add:	Compensation to a retired employee		500,000
	Contributions to MPF schemes (HK$192,000 – HK$960,000 x 15%)		48,000
	Fines		8,000
	Second-hand motor vehicle		80,000
	Loan to an ex-employee written off		50,000
	Interest on the director's loan		30,000
	Profits tax paid		30,000
	Legal fee for selling the residential flat		40,000
	Renovation expenditure of office premises (HK$300,000 x 4/5)		240,000
	Donations		400,000
	Depreciation charged		320,000
			4,590,000
Less:	Interest on TRC	1,000	
	Profit on sale of a residential flat	3,000,000	
	Industrial building allowance	160,000	
	Depreciation allowances	374,000	(3,535,000)
			1,055,000
Less:	Approved charitable donations (35%)		(369,250)
	Assessable profit		685,750
Profits tax payable at two-tier profits tax rate @8.25%			56,574
Less: Tax reduction			(20,000)
Profits tax payable			36,574

Answer 1(c)(i)

Loan to an ex-employee written off

To qualify for the deduction of bad debt, it must be proven to the satisfaction of the assessor that the debt is irrecoverable and the loan was previously included as trading receipt unless the person is carrying on a money lending business (s.16(1)(d)). As the loan to an ex-employee does not satisfy the above conditions, the amount written off is not deductible.

Answer 1(c)(ii)

Interest on the director's loan for purchasing the factory

As the loan was used to purchase the factory for the purpose of producing chargeable profits, s.16(1)(a) is satisfied. However, the interest income received by the director is not chargeable to any tax in Hong Kong, so s.16(2)(c) is not satisfied. As the other conditions under s.16(2) are also not satisfied, the interest is not deductible.

Answer 2(a)

Donald
Share option gain
Year of assessment: 2019/20

	HK$	HK$
Market value at the time of exercise (200,000 x HK$6.70)		1,340,000
Less: Cost of option	10,000	
Cost of shares (200,000 x HK$3)	600,000	(610,000)
		730,000
Chargeable share option gain: HK$730,000 x 120 / 365		240,000

Answer 2(b)

Donald
Salaries tax computation
Year of assessment: 2019/20
Basis period: year ended 31 March 2020

	HK$	HK$
Salaries		1,240,000
Commission		900,000
Petrol cost reimbursed (HK$48,000 x 30%)		14,400
Holiday passage		77,000
		2,231,400
Rental value		
HK$[2,231,400 – 900,000 x 10%] x 2 / 12 x 8%	28,552	
HK$[2,231,400 – 900,000 x 10%] x 10 / 12 x 10%	178,450	
	207,002	
Less: Rent suffered (HK$4,000 x 12)	(48,000)	159,002
		2,390,402
Share option gain		240,000
Total assessable income		2,630,402
Less: Outgoings and expenses (HK$900,000 x 10%)	90,000	
Self-education expenses	80,000	(170,000)
		2,460,402
Less: Contributions to MPF scheme		(18,000)
		2,442,402
Less: Married person's allowance	264,000	
Child allowance	120,000	(384,000)
Net chargeable income		2,058,402
Tax at progressive rate:		
HK$(2,058,402 – 200,000) x 17% + HK$16,000		331,928
Tax at standard rate: HK$2,442,402 x 15%		366,360
Salaries tax before tax reduction		331,928

Answer 2(c)

Provision of motor car

Gold provided the motor car for Donald's use, which is a benefit from the employment, however, the use of the car cannot be convertible into cash, hence the benefit is not taxable. The reimbursement of the petrol cost related to business use is not taxable as the expenditure is Gold's expenses. However, the reimbursement of the petrol cost relating to the personal use of Donald is a money's worth, which is chargeable to salaries tax.

Answer 3(a)

Under s.60 of the Inland Revenue Ordinance ("IRO"), where it appears to an assessor that in any year of assessment:

(1) no assessment has been raised on any person chargeable to tax; or
(2) the person has been under-assessed,

The assessor may raise an assessment or an additional assessment within six years after the end of the year of assessment concerned according to his own judgement (s.60(1)). In the case of fraud or wilful evasion, the time limit is extended to ten years after the end of the year of assessment concerned (s.60(1) proviso (b)).

As the 2014/15 additional salaries tax assessment was issued to Joe within six years after the end of the year of assessment 2014/15, the additional assessment is properly issued and valid.

Answer 3(b)

After an assessment has become final and conclusive in terms of s.70 of the IRO, the assessment can be reopened under s.70A of the IRO if it can be shown that the assessment is excessive by reason of:

(1) any error or omission in any return or statement submitted in respect thereof; or

(2) any arithmetical error or omission in the calculation of the amount of the assessable income or profits or amount of tax charged.

A person can make an application to the assessor asking him to correct such an assessment within six years after the end of the year of assessment concerned or within six months after the date of issue of that notice of assessment, whichever is the later.

Joe may apply for correction of omission of his claim for deduction of approved charitable donations under s.70A of the IRO. The deadline is the later of six years after 31 March 2015, i.e. 31 March 2021 or six months after the date of issue of the assessment, which is 15 September 2021. Therefore, Joe has to lodge his application on or before 15 September 2021.

Answer 4(a)

Nancy
Property tax computation
Year of assessment: 2019/20

	HK$
Assessable value	300,000
Less: 20% statutory deductions	(60,000)
Net assessable value	240,000
Property tax @15%	36,000

Answer 4(b)

Sam
Personal assessment
Year of assessment: 2019/20

	HK$	HK$
Net assessable value HK$(240,000 – 9,000) x 80%		184,800
Net assessable income		900,000
Net assessable profit		420,000
		1,504,800
Less: Mortgage loan interest		(110,000)
		1,394,800
Less: Approved charitable donations		
HK$(300,000 + 10,000 – 100,000)	(210,000)	
Mandatory loan contributions to MPF scheme	(18,000)	(228,000)
		1,166,800
Less: Business loss		(200,000)
		966,800
Less: Married person's allowance		(264,000)
Net chargeable income		702,800

Answer 5

Top Limited
Depreciation allowance
Year of assessment: 2019/20

	20% pool	30% pool	Machine X – 30%	Allowance
	HK$	HK$	HK$	HK$
WDV b/f	3,240	10,230	12,200	
Additions	180,000	280,000		
	183,240	290,230		
Less: I.A. – 60%	(108,000)	(168,000)		276,000
		122,230		
T/T pool		12,200	(12,200)	
	75,240	134,430	0	
Less: Disposal proceeds	(80,000)			
Balancing charge	(4,760)			(4,760)
Less: A.A.		(40,329)		40,329
WDV c/f		94,101		
			Machine F – 30%	
Cash price			240,000	
Less: I.A. HK$(40,000 + 200,000 x 4/20) x 60%			(48,000)	48,000
			192,000	
Less: A.A.			(57,600)	57,600
WDV c/f			134,400	
Machine E – Prescribed fixed asset				150,000
Environment-friendly vehicle				300,000
Disposal proceeds of Machine A				(50,000)
Hire purchase interest HK$(11,000 x 4 – 200,000 x 4/20)				4,000
				821,169

Answer 6

The agreement for sale and purchase ("ASP")

Ad valorem duty ("AVD")
The ASP executed on 15 October 2020 is chargeable with AVD at the scale 2 rates because the purchaser, Tom, is a Hong Kong permanent resident, he did not own any residential property in Hong Kong at the time of purchase, and he purchased the property on his own behalf. The amount of AVD is as follows:

AVD = HK$10,000,000 x 3.75% = HK$375,000

Special stamp duty ("SSD")
As the vendor, George, purchased the residential property after 27 October 2012 and he owned the property for over 12 months but less than 36 months, the ASP is liable to SSD. The amount of SSD is as follows:

SSD = HK$10,000,000 x 10% = HK$1,000,000

Buyer's stamp duty ("BSD")
The ASP is not chargeable with BSD as the purchaser, Tom, is a Hong Kong permanent resident.

The conveyance on sale ("COS")
The nominee May is the wife of the purchaser, Tom, and thus she is considered a close relative of Tom. Also, May did not own any residential property in Hong Kong at the time of executing the COS and they acted on their own behalf in the purchase of the property. Tom and May are treated as the same person. The COS is in conformity with the ASP and the COS is charged with a fixed duty of HK$100.

SSD and BSD
Since the COS is in conformity with the ASP, no SSD or BSD is required.

* * * END OF EXAMINATION PAPER * * *